

Foundational Factors

A compact three-factor core (momentum, mean reversion, carry) – each axis captures a structurally different source of cross-sectional return, so their blend is largely uncorrelated.

Foundational Factors integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

All have been inspired by the academic literature, with proprietary enhancements.

Together, these factors create a diversified return stream designed to outperform in a range of market conditions.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jul 2026

Cumulative Returns

MTD	Last Month	1M	3M	YTD
0.6%	–5.0%	–5.0%	9.3%	9.2%

Annualised Returns (CAGR)

1Y	3Y	5Y	SI
34.3%	41.9%	31.6%	69.8%

RISK PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y	5Y	SI
14.5%	21.2%	18.6%	21.6%	21.3%	27.8%

Max Drawdown

%	Date
–30.2%	2022-02-27

CUMULATIVE RETURN



Note – Performance is for the Foundational Factors multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Portfolio Analysis

[Download Returns \(CSV\)](#) →

Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

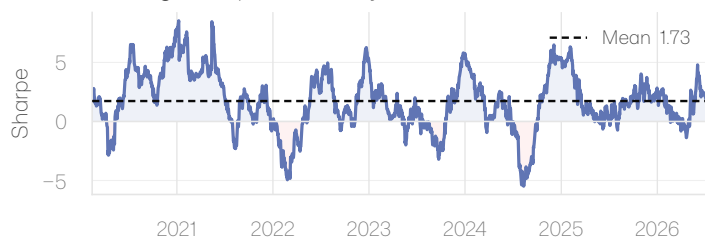
Drawdown



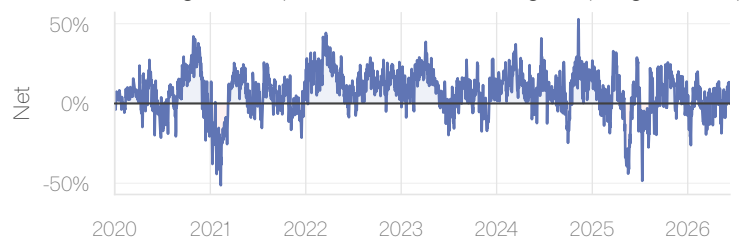
Monthly Returns • calendar-month, compounded

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2026	-1.7%	+0.1%	-1.7%	+2.6%	+15.1%	-5.0%	+0.6%						+9.2%
2025	+1.3%	+4.4%	-1.6%	+3.1%	-1.4%	-1.2%	-0.2%	+7.7%	+0.2%	+4.9%	+6.1%	+3.1%	+29.0%
2024	-5.9%	-0.8%	+8.5%	+1.7%	-0.5%	-6.2%	-9.4%	-0.3%	+9.5%	+1.0%	+32.6%	+18.8%	+51.5%
2023	-7.8%	+11.2%	-0.5%	-3.7%	+3.4%	+1.0%	-6.3%	+0.9%	+0.2%	+2.5%	+6.7%	+28.6%	+36.6%
2022	-9.7%	-3.9%	+7.8%	+0.5%	+11.0%	+2.8%	+7.0%	-4.3%	+1.7%	+1.4%	+9.6%	+7.5%	+33.4%
2021	+58.6%	+5.7%	+21.9%	+33.0%	-8.9%	+1.0%	+8.0%	+1.6%	+0.5%	-1.4%	+10.0%	-10.9%	+166.5%
2020	+15.1%	-7.3%	-5.0%	-0.4%	+17.6%	+10.5%	+9.2%	+18.2%	+2.7%	+13.5%	+27.9%	+21.2%	+206.3%

Rolling Sharpe • 90-day, annualised



Rolling Net Exposure • sum of weights (long – short)



ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at unravel.finance; see the materials below.

[View this portfolio on unravel.finance](#) →[Replication notebook – multi-factor construction](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](#)

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